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Case Number: 25STCV16949 Hearing Date: September 15, 2026 Dept: 509

Law Office of Grant K. Peto, APC v. Carly Nese

(1) PETO'S MOTION FOR SUMMARY JUDGMENT AND SUMMARY ADJUDICATION

(2) NESE'S MOTION FOR SUMMARY JUDGMENT AND SUMMARY ADJUDICATION

(3) MOTION TO DEPOSIT FUNDS

MOVING PARTY: (1) Plaintiff/Cross-Defendant Law Office of Grant K. Peto, APC

(2) & (3) Defendant/Cross-Complainant Carly Nese, an individual dba Law Office of Carly Nese

RESPONDING PARTY(S): (1) Defendant/Cross-Complainant Carly Nese, an individual dba Law Office of Carly Nese

(2) & (3) Plaintiff/Cross-Defendant Law Office of Grant K. Peto, APC

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Law Office of Grant K. Peto APC (Peto) filed this action against Defendant Carly Nese, an individual dba Law Office of Carly Nese (Nese), seeking a declaration of its rights under a fee sharing agreement. Peto contends the parties' fee sharing agreement is void.

Nese filed a cross-complaint against Peto also seeking declaration of rights under the fee sharing agreement. Nese filed a first amended cross-complaint (FACC) alleging: (1) declaratory relief; (2) breach of contract; (3) breach of the implied covenant of good faith and fair dealing; and (4) quantum meruit.

Peto now moves for summary judgment of the complaint and for summary adjudication of the first, second, and third causes of action in the FACC. Nese opposed.

Nese filed a motion for summary judgment of the complaint and for summary adjudication of the first and second causes of action in the FACC. Peto opposed.

Finally, Nese moves for an order for Peto to deposit funds with the Court pending resolution of this action. Peto opposed.

TENTATIVE RULING:

Peto's Motion for Summary Judgment of the Complaint is GRANTED.

Peto is ordered to file a [Proposed] Judgment consistent with this ruling.

Peto's Motions for Summary Adjudication of the First, Second, and Third Causes of Action in the FACC is GRANTED.

Nesse's Motion for Summary Judgment/Adjudication of the Complaint and the First and Second Cause of Action in the FACC is MOOT or otherwise DENIED.

Nesse's Motion to Deposit Funds is DENIED.

Peto is ordered to give notice, unless waived.

DISCUSSION:

Peto's Motion for Summary Judgment and Summary Adjudication

I. Evidentiary Objections

Pursuant to Code of Civil Procedure, section 437c(q), the Court only rules upon objections asserted against evidence which the Court deems to be material to the disposition of this motion, as follows:

Nese Objections Nos. 12-15: OVERRULED.

II. Judicial Notice

Peto requests the Court to take judicial notice of Exhibit 1, the complaint in Nunez v. TR Accountants, Inc., Orange County Superior Court Case No. 30-2023-01324959-cu-fr-cjc. Nese does not object to judicial notice of the document itself. (Objection No. 20.) Pursuant to Peto's request, the Court takes judicial notice of Exhibit 1.

III. Legal Standard

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) In analyzing motions for summary judgment, courts must

apply a three-step analysis: “(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue.” (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294). Thus, summary judgment is granted when, after the Court's consideration of the evidence set forth in the papers and all reasonable inferences accordingly, no triable issues of fact exists and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc. § 437c(c); Villa v. McFarren (1995) 35 Cal.App.4th 733, 741.)

As to each claim as framed by the Complaint, the defendant moving for summary judgment must satisfy the initial burden of proof by presenting facts to negate an essential element, or to establish a defense. (Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.) A defendant has met its burden of showing that a cause of action has no merit if it demonstrates the absence of any single essential element of plaintiff's case or a complete defense to plaintiff's action. (Code Civ. Proc. § 437c(o)(2); Bacon v. Southern Cal. Edison Co. (1997) 53 Cal.App.4th 854, 858.) Once the defendant moving party has met the burden, the burden shifts to the plaintiff to show via specific facts that a triable issue of material facts exists as to a cause of action or a defense thereto. (Code Civ. Proc. § 437c(o)(2).)

IV. Background Allegations

In 2023, Nese and Peto agreed to collaborate on representing client George Nunez (Nunez) in a separate action. (FACC ¶6.) On January 13, 2023, Nunez signed an Attorney Engagement Agreement, agreeing that both Peto and Nese were serving as his counsel and that he was obligated to pay a legal fee of 40% of any recovery to Nese and Peto. (FACC ¶12.) On July 30, 2024, Peto and Nese obtained a settlement on behalf of Nunez. (FACC ¶15.)

Now, Nese alleges there exists a written fee sharing agreement (Fee Sharing Agreement), in which Peto would pay Nese 40% of the legal fees paid by Nunez. (FACC ¶25.) Nese alleges Peto failed to pay her 40% of the awarded fees. (FACC ¶27.) Peto disputes the existence and enforceability of any contractual fee sharing agreement. (See Compl.)

V. Analysis

Peto now moves for summary judgment of his complaint for declaratory relief and for adjudication of the first, second, and third cause of action in the FACC. In addressing the parties respective requests for declaratory relief, the Court determines there is no enforceable contract between the parties and therefore, Peto is entitled to summary adjudication.

A. There is No Valid and Enforceable Fee Sharing Agreement

All causes of action in dispute by instant motion hinge on whether there exists a valid and enforceable fee sharing agreement between the parties.

As an initial matter, Peto makes various arguments as to whether the email exchange between the parties adequately stands for a valid and enforceable contract. (Mot. at pp 8-9.)

However, even if the parties' email exchanges demonstrate a valid contract that applies to this dispute, the fee sharing agreement would be unenforceable as a matter of public policy for failing to comply with Rules of Professional Conduct, rule 1.5.1.

Rules of Professional Conduct, rule 1.5.1(a) states:

(a) Lawyers who are not in the same law firm* shall not divide a fee for legal services unless:

(1) the lawyers enter into a written* agreement to divide the fee;

(2) the client has consented in writing,* either at the time the lawyers enter into the agreement to divide the fee or as soon thereafter as reasonably* practicable, after a full written* disclosure to the client of: (i) the fact that a division of fees will be made; (ii) the identity of the lawyers or law firms* that are parties to the division; and (iii) the terms of the division; and

(3) the total fee charged by all lawyers is not increased solely by reason of the agreement to divide fees.

Nese, in opposition, argues that Rule 1.5.1(a) does not apply, and even if it did apply, this requirement was satisfied by the parties' disclosure to the client in the Attorney Engagement Agreement.

1. Rule 1.5.1(a) Applies

Rule 1.5.1(a) only applies to "[l]awyers who are not in the same law firm." (Rule Prof. Conduct, rule 1.5.1(a).) Indeed, it is undisputed that Peto and Nese are not partners or part of the same firm. (UMF No. 2.) [FN 1]

In opposition, Nese argues that Peto held the two offices out to this client as a single firm. (Opp. at pp. 12-13.) Nese argues that "Peto presented the two offices to this Client as "the Firm" at the outset and throughout the litigation, and the two lawyers had mutual access to the Client's file. Peto cannot define two offices as one "Firm" in the agreement he wrote, collect a single Legal Fee payable to that "Firm," and then invoke a rule addressed to lawyers who are not in the same firm in order to keep his co-counsel's share of it." (Opp. at p. 13:8-12.)

However, the Attorney Engagement Agreement demonstrates the parties were presented as individual entities working on a collaborative basis, not as a unified firm. "The Law Office of Carly Nese will work on this matter as co-counsel. As used herein, the term "Firm" shall include the Law Office of Grant K. Peto, APC and also the Law Office of Carly Nese. This Agreement applies to both law offices even though billing will be handled by the undersigned." (Parker Decl., Ex. 3 at p. 1.) The use of the shorthand "the Firm" appears to be a simple shorthand for the two firms, not a representation that the parties are a unified entity. The Attorney Engagement Agreement outlines that the two firms are individual, independent entities that are working collaboratively as Nunez's legal representatives. Therefore, the Attorney Engagement Agreement does not create a dispute that Nese and Peto are independent entities and individually are lawyers who are not in the same law firm.

Therefore, Rule 1.5.1(a) applies.

2. The Parties Did Not Comply with Rule 1.5.1(a)

Setting aside whether the lawyers entered into a written agreement to divide the fee pursuant to Rule 1.5.1(a)(1), the parties did not receive client consent for the Fee Agreement.

Rule 1.5.1(a)(2) requires "the client has consented in writing,* either at the time the lawyers enter into the agreement to divide the fee or as soon thereafter as reasonably* practicable, after a full written* disclosure to the client of: (i) the fact that a division of fees will be made; (ii) the identity of the lawyers or law firms* that are parties to the division; and (iii) the terms of the division."

Here, it is undisputed that Nunez did not consent in writing to the terms of the division. (UMF No. 5.) The undisputed evidence demonstrates that the Attorney Engagement Agreement is the only written agreement between the parties and

Nunez. It contains no terms describing the terms of the division. (Parker Decl., Ex. 3.) Nunez, in support of Peto's motion declares "I never consented Ms. Nese would receive 40% of the total fee in the case." (Nunez Decl. ¶7.) "I was unaware Ms. Nese expected 40% of the total fee until after Mr. Peto settled my case." (Nunez Decl. ¶8.)

In opposition, Nese argues that "The consent requirement of subdivision (a)(2) is satisfied by the engagement agreement. It disclosed the fact that a division would be made, in terms: two named law offices, defined collectively as "the Firm," sharing a single fee payable to "the Firm." It identified both lawyers and both offices. It stated the total fee. And it took the Client's consent in the language of agreement rather than of receipt: "Client ... agrees to be bound by those terms." (Opp. at p. 11:24-123.)

However, while this does satisfy part (i) and part (ii) of rule 1.5.1(a)(2), it does not disclose the terms of the division for part (iii); the very terms disputed in this action. Indeed, had the Attorney Engagement Agreement outlined the terms of the division, the Court could turn to the Attorney Engagement Agreement to resolve this action as the terms of the division would be restated within. However, Nese is not seeking to enforce the terms of the Attorney Engagement Agreement, but rather, a contract formed through a private chain of emails with no disclosure or consent from Nunez. (See AMF 1-3.) The undisputed evidence is clear that Nunez did not consent, in writing, to the terms of the fee division between the parties.

Therefore, the Fee Agreement, should it exist, is in violation of Rule 1.5.1.

3. A Violation of Rules 1.5.1 Renders Any Agreement Unenforceable

The Court cannot enforce a contract that violates the Rules of Professional Conduct. (Reeve v. Meleyco (2020) 46 Cal.App.5th 1092; Chambers v. Kay (2002) 29 Cal.4th 142, 162 (Chambers).) While Chambers discussed former Rules of Professional Conduct, rule 2-200, which was superseded by the applicable Rule 1.5.1, the rationale and conclusion still apply. [FN 2] In Chambers, "rule 2-200 states that a member of the State Bar "shall not divide a fee for legal services with a lawyer who is not a partner of, associate of, or shareholder with the member" unless the requirements specified in the rule have been met." (Id. at p. 148.) The Court held that "it would be absurd for this or any other court to aid [the attorney] in accomplishing a fee division that would violate the rule's explicit requirement of written client consent and would subject [the attorney] to professional discipline." (Id. at p. 161.)

Here, the material facts are similar to Chambers. Nese is seeking this Court's to mandate a fee division that would violate the Rules of Professional Conduct's explicit requirement to obtain written client consent. The Court cannot do so.

In opposition, Nese argues that "[t]he purpose the rule serves is "to protect the client's right to know who is, and who is not, representing him." Anderson, McPharlin & Connors v. Yee, 135 Cal.App.4th 129, 134 (2006). That interest was served here. Nunez retained both attorneys simultaneously, in a single written engagement agreement that named both law offices, defined them collectively as "the Firm," and obligated him to pay "the Firm" the contingency fee." (Opp. at p. 13:19-23.) However, the Attorney Engagement Agreement fails to inform Nunez who is, and who is not, representing him by omitting the scope of representation between the two firms because of the failure to include the terms of the fee division.

The scope of the work outlined in the private emails exchanged between the parties are not present in the Attorney Engagement Agreement. In fact, the scope of Nese's involvement in the action remains disputed to this day. (UMFs Nos. 16-18.) However, "the rule's written disclosure and consent requirements remain equally important where, as here, the division of fees accompanies or is prompted by a division of the legal services provided to the client." (Chambers v. Kay, supra, 29 Cal.4th at p. 157.) "A division of fees may reflect each participating attorney's responsibilities in a case or fees may be charged for multiple attorney participation in the case without regard to the particular services each attorney performs. Such information may affect the client's level of confidence in the attorneys and is indispensable to the client's ability to make an informed decision regarding whether to accept the fee division and whether to retain or discharge a particular attorney. As in the case of referral fees, requiring the client's written consent to fee divisions among participating attorneys impresses on the client the importance of consent and the right to reject a fee division." (Ibid.) Here, Nunez's interest was impacted by the private nature of the disputed scope of services that ultimately impacted Nunez's confidence in, and information regarding his action. (Nunez Decl. ¶¶5-6.) Nunez did not adequately know who was representing him in the action.

Accordingly, any potential Fee Agreement, should one exist, is unenforceable as a matter of public policy.

The Court now addresses how this conclusion affects the causes of action alleged in the complaint and FACC.

B. First Cause of Action in the Complaint and the First Cause of Action in the FACC

Peto's complaint contains a sole cause of action for declaratory relief seeking a Court declaration that the Fee Sharing Agreement is unenforceable. Nese's first cause of action in the FACC seeks declaratory relief that the Fee Sharing Agreement is valid and enforceable.

Here, as discussed above, Peto has met its burden in demonstrating Rules of Professional Conduct, rule 1.5.1(a) applies and invalidates any written fee agreement between the parties. Nese has failed to provide any dispute of material facts to defeat summary adjudication of the issue. As a result, Peto is entitled to summary adjudication on his sole cause of action for declaratory relief in his complaint and against Nese's cause of action for declaratory relief in the FACC. The Fee Sharing Agreement is unenforceable

Accordingly, Peto's Motion for Summary Judgment as to the Complaint is GRANTED.

Peto is ordered to file a [Proposed] Judgment consistent with this ruling.

Peto's Motion for Summary Adjudication of the First Cause of Action (Declaratory Relief) in the FACC is GRANTED.

C. Second (Breach of Contract) and Third (Breach of the Implied Covenant of Good Faith and Fair Dealing) Causes of Action in the FACC

Finally, because the Fee Sharing Agreement is unenforceable, Nese's causes of action for breach of contract and breach of the implied covenant of good faith and fair dealing fail as a matter of law.

The FACC alleges that "Pursuant to the written Fee Sharing Agreement, Cross-defendant agreed that Cross-defendant would pay Cross-complainant 40% of the legal fees paid by the client Nunez to the "Firm."" (FACC ¶25.) As discussed above, the Fee Agreement is unenforceable as a matter of law. "The standard elements of a claim for breach of contract are: '(1) the contract, (2) plaintiff's performance excuse for nonperformance, (3) defendant's breach, and (4) damage to plaintiff therefrom.'" (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.) As no enforceable contract exists, no breach of contract can be sustained.

Further, "[a] breach of the covenant of good faith and fair dealing does not give rise to a cause of action separate from a cause of action for breach of the contract containing the covenant. [Citation.]" (Smith v. Int'l Bhd. of Elec. Workers (2003) 109 Cal.App.4th 1637, 1644, fn. 3.) Because the cause of action for breach of contract fails, and the FACC alleges the breach of good faith and fair dealing arising from the same contract, the cause of action for breach of good faith and fair dealing likewise fails as a matter of law. (See FACC ¶32.)

Accordingly, Peto's Motion for Summary Adjudication of the Second and Third Causes of Action in the FACC is GRANTED.

Nese's Motion for Summary Judgment and Summary Adjudication

Nese filed a motion for summary judgment, or summary adjudication after Peto's motion for summary judgment or adjudication. Like Peto's motion (addressed above), Nese's motion seeks adjudication of Peto's complaint and the first and second causes of action of Nese's FACC.

As an initial matter, the Court notes that this motion was filed redacted without filing a motion or application to seal. (See CRC Rule 2.551.) The Court deems any documents filed or lodged no longer sealed.

Finally, adjudication of all causes of action addressed in Nese's motion for summary adjudication was granted in favor of Peto as a result of Peto's concurrent motion for summary adjudication. As all causes of action have been resolved in favor of Peto for the reasons discussed in Peto's concurrent motion for summary judgment, Nese's motion is MOOT or otherwise DENIED.

Nese's Motion to Deposit Funds

Nese seeks the Court order Neto to deposit \$760,000 into a blocked account pending the disposition of this action. Nese argues that this is the amount owed to Nese pursuant to the Fee Agreement.

As an initial matter, this motion was never filed with the Court but rather lodged conditionally under seal. There was no motion or application to seal. (See CRC Rule 2.551.) The Court deems any documents filed or lodged no longer sealed.

First, as a result of Peto's concurrent motion for summary judgment, Nese is not entitled to the \$760,000 she seeks to have deposited into a blocked account. The dispute regarding this sum has been summarily adjudicated in Peto's favor and Nese no longer has claim to these funds.

Further, even if the concurrent motion for summary judgment was not entered in Peto's favor, the Court would still deny the instant motion. Nese moves for relief under Code of Civil Procedure, section 572. Section 572 states:

When it is admitted by the pleadings, or shown upon the examination of a party to the action, that he or she has in his or her possession, or under his or her control, any money or other thing capable of delivery, which, being the subject of litigation, is held by him or her as trustee for another party, or which belongs or which is due to another party or which should, under the circumstances of the case be held by the court pending final disposition of the action, the court may order the same, upon motion, to be deposited in court or delivered to such party, upon those conditions that may be just, subject to the further direction of the court.

(Code Civ. Proc. § 572.)

Section 572 does not apply to funds as to which the moving party merely claims title. "Section 572, of the Code of Civil Proc., refers to property which, is without question, in the hands of a trustee as trust property, or which belongs to or is due to another. It does not refer to that where the party alleged to hold as a trustee claims title to it in his own right." (Ex parte Elias (1962) 209 Cal.App.2d 262, 271; see also Frey v. Superior Court (1913) 22 Cal.App.421.) However, here, as clearly apparent, the rightful titleholder of the \$760,000 is in dispute and Peto claims title to the amount in its own right. Therefore, Nese cannot invoke Section 572.

Accordingly, Nese's Motion to Deposit Funds is DENIED.

IT IS SO ORDERED.

Dated: September 15, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

FN 1 - Nese includes significant argument in their separate statement. "The separate statement should include only material facts and not any facts that are not pertinent to the disposition of the motion." (CRC Rule 3.1350, subd (f)(3), emphasis added.) The Court, therefore, disregards such arguments presented in Nese's Separate Statement.

FN 2 - Rules of Professional Conduct, rule 1.5.1, superseded former rule 2-200 on November 1, 2018. All events pertaining to this case occurred after rule 1.5.1 was in full force. However, former rule 2-200(A) similarly prohibited lawyers from dividing a fee for legal services with "a lawyer who is not a partner of, associate of, or shareholder with the [lawyer]" unless certain requirements are met. (Reeve v. Meleyco (2020) 46 Cal.App.5th 1092, 1097-1098.) It appears, any difference between rule 2-200 and rule 1.5.1 does not affect the analysis for this instant motion. The Court is not aware of, nor did either party point to, any published case in which rule 1.5.1 was applied.